Recommendation: HOLD

Small upside means the point is restraint, not indecision.

YETI

Hold the stock; do not add risk here.

HOLD

$39.62
Current
T001

$41
Target
T003

3.5%
Upside
T004

$3.0B
Market cap
T002

Confidence: moderate. Historical data are strong; valuation and tariff assumptions are judgment-heavy.

Trace: audit/traces/slide-01.md | input 8bb17db | T001-T004, T023-T026

The Thesis In The Agent's Words

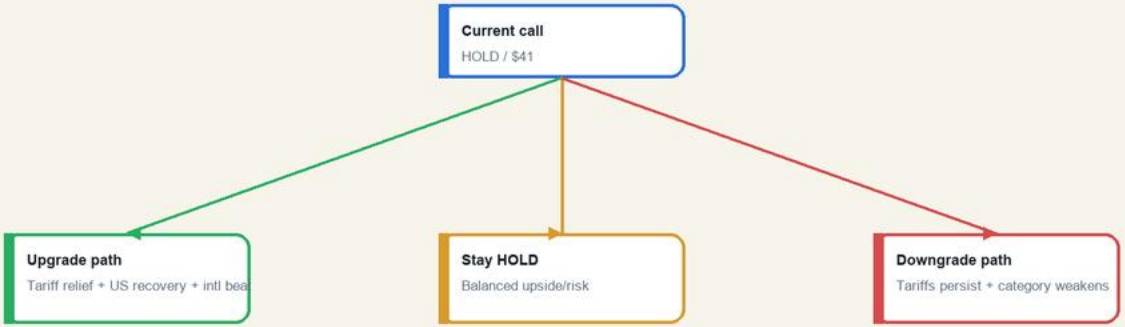
Quality is real. The price already knows enough of the good news.

YETI is a durable premium brand with international and DTC runway, but the public evidence does not support paying for a clean upside inflection while tariff and US-category risk remain live.

- **Why not sell**
  FY2025 free cash flow and gross margin remain healthy enough to avoid a bearish call.
  T007, T008, T010
- **Why not buy**
  The blended target is only modestly above the current price and tariffs remain the largest swing factor.
  T003, T004, T042
- **What matters next**
  International mix, DTC strength, tariff mitigation, and US wholesale sell-through decide whether HOLD becomes directional.
  T011-T015, Q1-Q3

What Would Change The Recommendation

The recommendation is falsifiable, not a one-way story.

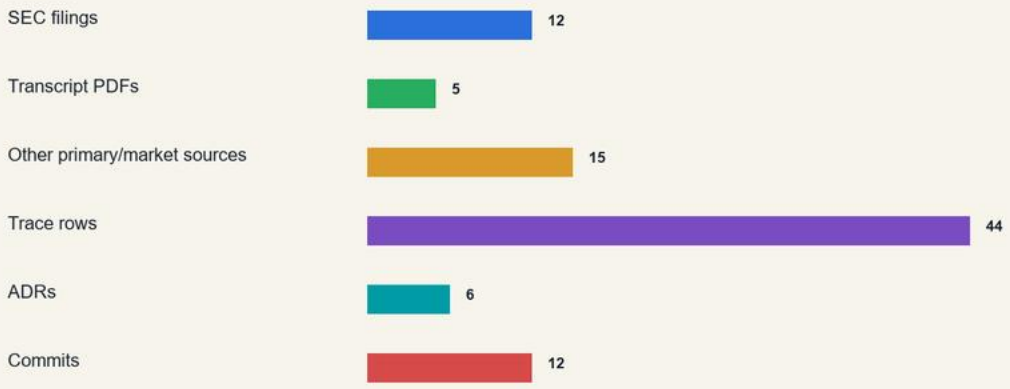


This slide is deliberately conditional: it makes the recommendation testable rather than final-sounding.

- **Upgrade path**
  Tariff relief arrives faster than modeled, international growth stays above the US mix, and sell-through closes the wholesale gap.
  T014, T042, Q2
- **Downgrade path**
  Tariff costs persist, category demand weakens, or wholesale caution becomes real sell-through deterioration.
  T012, T042, T043
- **Stay HOLD**
  Execution is credible but upside fails the 20% risk-adjusted hurdle in the valuation ADR.
  /input/repo/decisions/0005

Evidence Stack

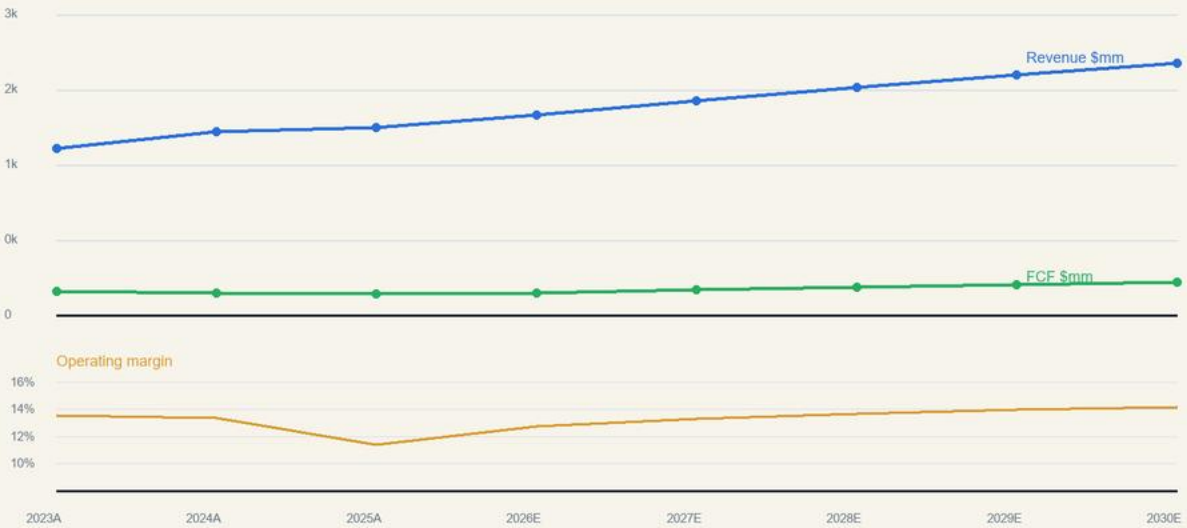
The agent built the recommendation from filings, transcripts, other primary sources, trace rows, ADRs, and commits.



- **Source breadth**
  The input repo preserved filings, transcripts, market pages, release pages, extraction scripts, and SHA logs.
  audit/numbers.md
- **Trace density**
  Every investment number in the memo maps to a trace row before it appears in this deck.
  T000-T043
- **Process evidence**
  ADRs and commit history are treated as reasoning artifacts, not housekeeping.
  /input/repo/decisions

Financial Trajectory

Guide-derived recovery is visible, but it is not a heroic margin rebound story.



Callout: FY2025 margin compression is visible; FY2026+ recovery is gradual.

- **FY2025 base**
  Revenue, operating margin, gross margin, and FCF all trace to the FY2025 10-K extraction.
  T005-T010
- **FY2026 step**
  The model uses the management guide-derived revenue growth assumption.
  T015-T017
- **Inflection**
  The trajectory supports quality, but the margin recovery is gradual enough to cap conviction.
  T009, T015

Business Mix

DTC and international are real, but not a free pass through US/category risk.

DTC scale

DTC sales are a majority of FY2025 sales, which supports data access and margin potential.

T011

Wholesale still matters

Wholesale remains material, so channel caution cannot be ignored.

T012, Q2

International runway

Management frames international as a long-term growth driver; the deck quotes it with context.

Q1 lines 196-210

"international addressable market exceeds the US"

Q1, line 199; context in audit/quotes.md

Valuation Bridge

The price target comes from a blended valuation, with DCF anchoring the call.

- **DCF anchor**
  The DCF value is below the blended target, which tempers multiple-driven optimism.
  T020

- **Multiples cross-check**
  EV/EBITDA and P/E support a higher cross-check but do not justify a BUY alone.
  T021-T022

- **Recommendation rule**
  The valuation ADR required meaningful risk-adjusted upside before moving to BUY.
  /input/repo/decisions/0005

Scenario Distribution

Bear/base/bull are weighted outcomes, not three decorative bullets.

- **Bear case**
  Tariff and demand pressure move value below current price.
  T023
- **Base case**
  Execution recovery creates upside, but not enough for a BUY after blending.
  T024
- **Bull case**
  A stronger recovery exists, but the probability weight keeps the call restrained.
  T025-T026

Competitive Position

YETI screens premium, but the peer context does not scream cheap.

- **Premium gross margin**
  YETI's gross margin supports brand quality relative to the public peer set.
  T010, T031
- **Operating context**
  The operating-margin gap is not enough to call the stock obviously mispriced.
  T031-T034
- **Comp humility**
  No public peer is perfect; the ADR makes the imperfection explicit.
  /input/repo/decisions/0003

Why These Comps

The peer set is a context lens, not a mechanical answer.

GOLF

premium recreation peer

Closest public premium recreation/enthusiast brand analog with higher multiple context

MAT

branded consumer-products peer

Global branded consumer portfolio with lower growth and multiple context

NWL

household and container peer

Large consumer household portfolio with drinkware/container exposure and weaker growth profile

DTC

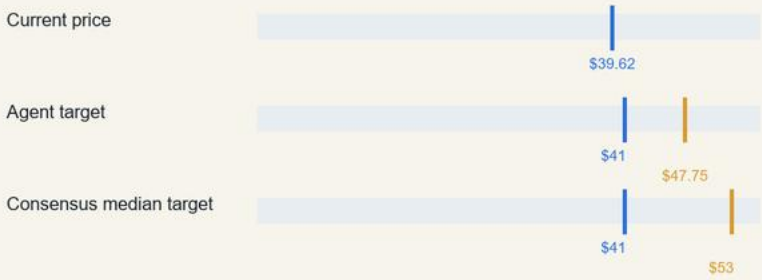
excluded sensitivity

Solo Brands was checked but excluded because distressed market cap and negative operating margin distorted the comparison

Decision logic: include imperfect but useful public analogs; exclude Solo Brands from core triangulation after it distorted the compa

Mispricing Test

The agent could not support a durable sell-side blind spot.



Public consensus sits above the agent's target and guide-derived base case.

Conclusion: no durable public sell-side blind spot identified.

- **No forced miss**
  Consensus targets and estimates were not obviously too low relative to the agent's model.
  T027-T030
- **Guide tension**
  Consensus EPS sat above the high end of management's guide-derived adjusted EPS range.
  T030, T036
- **Conclusion**
  The stronger claim is efficient pricing: market skepticism offsets visible international growth.
  /input/repo/analysis/sell_side_gap.md

Risk Assessment

Risks are ranked by investment impact and tied to what would have to be true.

Tariff pressure
200 bps incremental impact; $80M / 430 bps vs FY2024

Tariffs stay high and mitigation/pricing cannot offset cost

US Drinkware / wholesale inventory
DTC $1.128B; wholesale $740.7M; sell-through gap noted

Retailer sell-in stays weak and category promo pressure persists

Consumer cyclicality
Discretionary premium brand; HOLD requires only 3.5% upside

Demand weakens before international growth scales

Valuation assumptions
10.8% WACC; 2.75% terminal growth; blended target

WACC or multiple assumptions prove too generous

Top risk

Tariffs are the largest near-term swing factor because management quantified gross-margin pressure.

T042-T043

Demand/channel

Wholesale caution matters because the channel remains material to sales.

T012, Q2

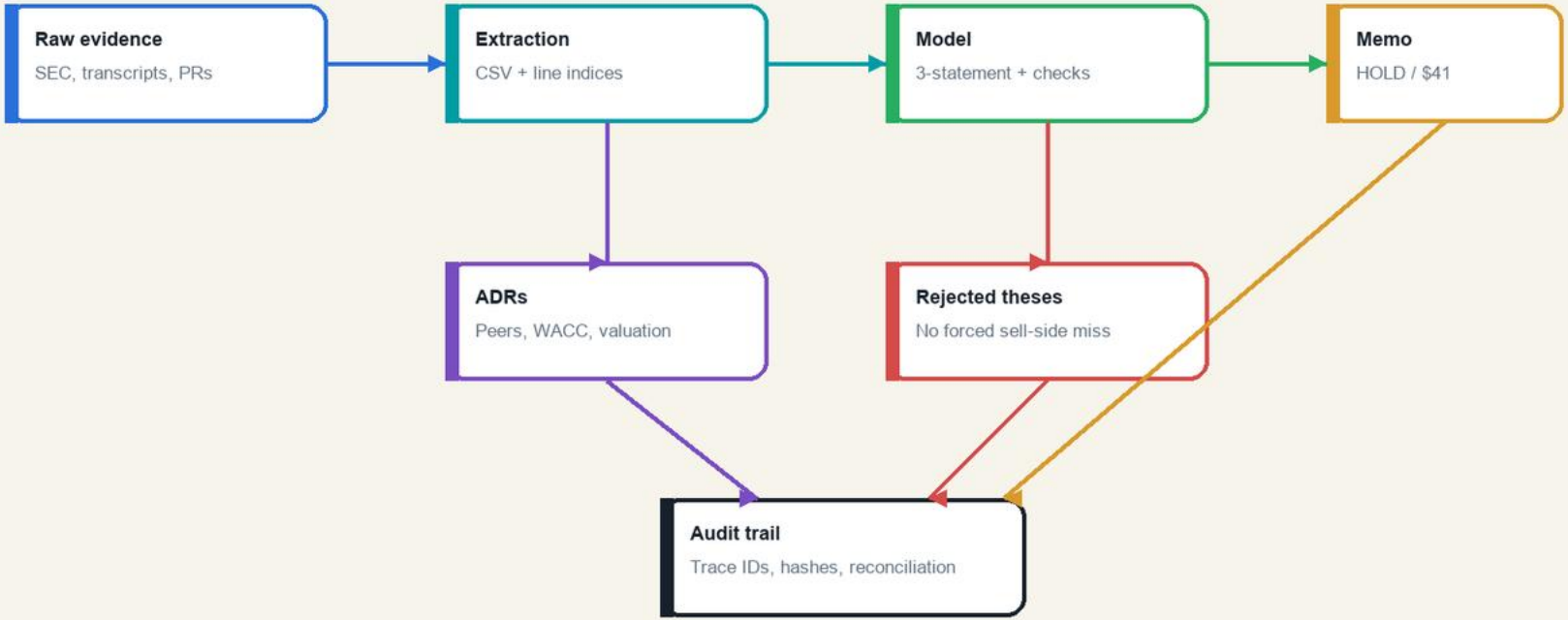
Capital allocation

Repurchases help, but they cannot carry the thesis alone.

T039

Reasoning Trail

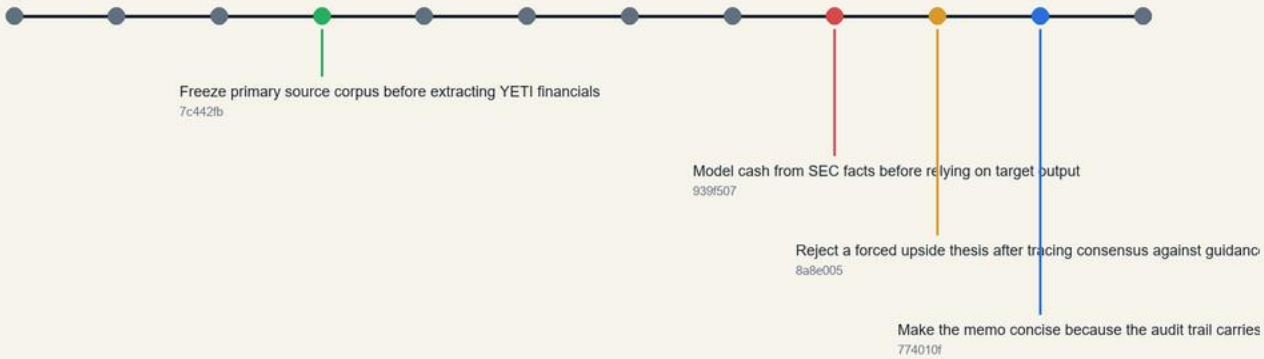
From raw evidence to extraction, model, ADRs, dead ends, and conclusion.



Key capability signal: the agent documented uncertainty and rejected an attractive-but-unsupported BUY thesis.

Commit History As Reasoning Evidence

The agent's history shows staged inquiry, not one-shot slide polish.



- **Early structure**
  The memo repo committed source registry, raw inputs, extraction, model, and memo in stages.
  input git log
- **Why it matters**
  Commit messages make reasoning transitions auditable, especially when a thesis changes.
  README + git log
- **Board read**
  The process artifact is evidence about the agent system, not merely about YETI.
  narrative/audience-analysis.md

Dead Ends The Agent Rejected

The rejected paths matter because they reveal what the system refused to overclaim.

Investor-day long-range deck

No usable current deck; used filings/releases/transcripts instead

research/dead-ends.md

Solo Brands as core peer

Distressed market cap and negative operating margin distorted comparison

research/dead-ends.md / ADR 0003

Sell-side blind spot

International and tariff-mitigation upside already visible in management/consensus

research/dead-ends.md / analysis/sell_side_gap.md

Board interpretation: this is a HOLD because the agent found support for quality, but not enough support for a mispricing claim.

Traceability System

The audit mechanism is a first-class part of the deliverable.

The audit files are part of the deck repo, while the evidence remains anchored to input commit 8bb17db.

How To Verify This Deck

Self-audit: pick a claim and reconstruct it from repo files.

1. **Choose any visible trace ID or slide footer**
   audit/traces/slide-XX.md

2. **Read the claim mapping and input commit**
   audit/traces/

3. **Find the trace ID in the numbers audit**
   audit/numbers.md

4. **Open the input repo source chain and model cell**
   /input/repo/analysis/memo_trace_ta
   /input/repo/analysis/
   /input/repo/model

5. **Land on the SEC filing transcript press release or model artifact**

Worked example:

Slide 1 target $41 -> T003 -> audit/numbers.md -> /input/repo/analysis/memo_trace_table.csv:5 -> model/yeti_investment_model.xlsx Valuation!B19.

Reconciliation Spot Check

Five deck numbers were traced end-to-end back into the input repo.

Number	Trace	Path
$39.62 current price	T001	raw/other/stockanalysis-yeti-market-cap.html and raw/other/stockanalysis-yeti-statistics.html -> extracted/yeti_market_data.csv
$1.868B FY2025 revenue	T005	raw/filings/yeti-2026-02-27-10-k-yeti-20260103.htm -> extracted/yeti_financials_annual.csv -> extracted/yeti_financials_wide.csv
10.8% WACC	T018	raw/other/stockanalysis-yeti-market-cap.html and raw/other/stockanalysis-yeti-statistics.html -> extracted/yeti_market_data.csv
$41 target	T003	model/yeti_investment_model.xlsx -> model/key-outputs.ndjson
200 bps tariff impact	T042	raw/transcripts/yeti-q4-2025-earnings-call-transcript.pdf -> extracted/transcripts/yeti-q4-2025-earnings-call-transcript.txt

Full reconciliation narrative: audit/reconciliation.md

Confidence Map

The deck distinguishes sourced facts from judgment calls.

- **Highest confidence**
  Historical financials, market inputs, and guidance are directly source-backed.
  audit/numbers.md
- **Medium confidence**
  Scenario outcomes depend on modeled recovery and tariff assumptions.
  T023-T026, T042
- **Lowest confidence**
  A true sell-side edge would require paid models and channel checks.
  /input/repo/memo lines 53-55

Limitations And Next Analyst Work

End where the memo ends: confidence is strongest in facts, weaker in judgment.

Historical financials

Confidence: High

Raw filing values reconcile through extraction tables into the workbook

Human next step

Refresh against the next 10-Q and management guide

Sales mix and guidance

Confidence: High

Channel geography and FY2026 guide are tied to filings releases and transcript lines

Human next step

Channel checks with retailers and owned web traffic data

Valuation assumptions

Confidence: Medium

WACC terminal growth and multiples are documented ADR choices

Human next step

Sensitivity around beta peer set and private-market brand transactions

Tariff and category risk

Confidence: Medium

Management disclosed gross-margin tariff impacts but not item-level exposure

Human next step

Granular bill-of-materials tariff work and sell-through data

Final board takeaway: this is a capability demonstration of traceable restraint, not a claim that automation found a hidden trade.